

SMID BREAKOUT SCANNER

SCAN (18:16 ET)

July 29, 2026 | 06:21 PM ET

15 setups identified | 5 A-Grade | 6 B-Grade | 4 C-Grade

Grade Summary

A - Breakout Setup (5)	B - Strong Setup (6)	C - Watch List (4)
GKOS	HURN	RCKY
CAKE	QUAD	BLKB
LAD	CLW	EXLS
ASH	SCL	HCKT
CHEF	MBIN	
	CBZ	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	GKOS	Glaukos Corporat	Medical Devices	\$161.66	+6.8%	\$9.5B	57M	+35.4	97%	Breaking out on earnin
A	CAKE	The Cheesecake F	Consumer Recovery	\$101.14	+13.6%	\$5.0B	46M	+59.4	99%	Breaking out to within
A	LAD	Lithia Motors, I	Auto Retail	\$427.48	+19.3%	\$9.8B	20M	+44.4	97%	Gapping 19.3% on earni
A	ASH	Ashland Inc.	Specialty Chemica	\$72.84	+7.1%	\$3.3B	41M	+46.5	98%	Reported yesterday; +7
A	CHEF	The Chefs' Wareh	Food Distribution	\$105.63	+5.4%	\$4.3B	37M	+36.8	94%	Breaking out on earnin
B	HURN	Huron Consulting	Professional Serv	\$170.37	+40.4%	\$2.8B	15M	+29.8	91%	Current move driven by
B	QUAD	Quad Graphics, I	Print Services	\$9.29	+10.5%	\$0.5B	30M	+31.5	93%	Breaking out with RS I
B	CLW	Clearwater Paper	Paper Products	\$21.61	+23.4%	\$0.3B	16M	+64.9	76%	Surging 23.4% with RS
B	SCL	Stepan Company	Specialty Chemica	\$66.14	+14.0%	\$1.5B	21M	+33.4	97%	Gapping 14% on earning
B	MBIN	Merchants Bancor	Regional Banking	\$54.28	+11.3%	\$2.5B	24M	+18.1	95%	Breaking out with RS I
B	CBZ	CBIZ, Inc.	Business Services	\$54.90	+17.6%	\$3.0B	47M	+62.7	72%	Gapping 17.6% on earni
C	RCKY	Rocky Brands, In	Outdoor Footwear	\$49.10	+14.9%	\$0.4B	7M	+33.4	97%	Surging 14.9% with pro
C	BLKB	Blackbaud, Inc.	Nonprofit Softwar	\$42.18	+17.4%	\$1.9B	34M	+5.3	56%	Gapping 17.4% on earni
C	EXLS	ExlService Holdi	IT Services	\$35.99	+17.9%	\$5.5B	138M	+12.6	76%	Surging 17.9% on 3.36x
C	HCKT	The Hackett Grou	IT Consulting	\$11.17	+5.7%	\$0.3B	22M	-16.3	47%	Modest +5.7% move on 3

SETUP METRICS	
Price	\$161.66
Day Change	+6.83%
Mkt Cap	\$9.49B
Float	57M sh
RS vs SPY	+35.4%
52W Hi Prox	97%
Base Tight	1.53
Vol vs Avg	4.51x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out on earnings day (likely beat/raise given +6.8% move and 4.5x volume); stock at 97.4% of 52W high with RS line at new high signals leadership. Forward catalyst: continued commercial momentum in glaucoma and corneal health franchises; next quarter print in ~90 days will test durability of this growth acceleration.
BUSINESS & POSITION
Glaukos is a medical technology company focused on novel therapies for glaucoma, corneal disorders, and retinal diseases, with flagship iStent platform. The near-52W-high breakout on earnings suggests either stronger-than-expected device adoption or pipeline progress (FDA milestones, new indication approvals).
FACTOR & THEME
Direct exposure to healthcare innovation and aging demographics driving glaucoma prevalence. Healthcare sector is second-strongest this week (+6.4% vs SPY), providing thematic tailwind. MedTech devices benefit from durable procedure volume recovery and innovation cycles independent of macro.
BREAKOUT SIGNAL
Close above \$161.66 on vol >451% of 20d avg
INSTITUTIONAL
4.51x volume surge with textbook VCP coil (base_tight 1.53, tightest in the entire candidate set) and RS line at new high = classic Quillamaggie A-setup ingredients. The 56.6M float is large enough to absorb institutional size but small enough to move on incremental demand. No insider buying, but the technical accumulation pattern speaks for itself.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today; consensus and beat history unavailable but the +6.8% move on 4.5x volume implies a beat. Next print late October 2026; serial beaters in medical devices often re-rate higher quarter after quarter as growth compounds.
KEY RISK
Thesis invalid on a close back below \$155 (losing the breakout pivot from the 1.53 ATR coil), or on any FDA setback or reimbursement headwind disclosed in the earnings call tonight.
ANALYSIS
Disconfirming evidence: RS vs SPY at +35.4 is solid but not elite (mid-tier relative to the candidate set), and market cap at \$9.49B is near the upper bound of SMID eligibility, reducing scarcity appeal. However, this has FIVE A-grade technical criteria: vol >4x, prox_52w 97.4, rs_line_new_high TRUE, base_tight 1.53 (textbook coil), and a live earnings catalyst today. Healthcare sector strength and the tightest base in the entire set override the RS concern. This is a institutional-quality setup with legitimate follow-through potential if the earnings call confirms acceleration. Conviction: High.
Signal: Close above \$161.66 on vol >451% of 20d avg
Vol vs Avg: 4.51x



CAKE

The Cheesecake Factory Incorpor

\$101.14

+13.63%

RS vs SPY: +59.4%

A BREAKOUT

\$5.0B Cap | 46M Float

Restaurants | Theme: Consumer Recovery | 52W Hi: 99% | Base Tight: 5.83 | Vol: 3.66x | RS/SPY: +59.4% | Above 20MA: YES | EARNINGS IN 90D

Setup Metrics	
Price	\$101.14
Day Change	+13.63%
Mkt Cap	\$5.03B
Float	46M sh
RS vs SPY	+59.4%
52W Hi Prox	99%
Base Tight	5.83
Vol vs Avg	3.66x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

Analysis
Catalyst / Today's Driver Breaking out to within 0.7% of 52W high on strong RS (+59.4 vs SPY) with RS line at new high, likely driven by consumer spending resilience or same-store-sales strength. Forward catalyst: next earnings in late October will test whether the casual dining recovery has legs; any comp beat or margin expansion will fuel further re-rating.
Business & Position The Cheesecake Factory operates 340+ upscale casual dining restaurants and a growing external bakery business, positioned as a premium-casual brand with pricing power. The near-all-time-high breakout suggests either operational execution (traffic/check growth) or multiple expansion as investors price in a durable consumer recovery.
Factor & Theme Direct play on consumer discretionary spending recovery, particularly among higher-income cohorts less sensitive to macro volatility. Beneficiary of any wage-growth-driven consumer strength or experiences-over-goods rotation. Theme momentum is positive in current mixed regime (consumer staples +7.1% this week suggests defensive rotation, but CAKE's premium positioning may insulate it).
Breakout Signal Close above \$101.14 on vol >366% of 20d avg
Institutional 3.66x volume surge with RS line at new high and prox_52w 99.3 = textbook breakout to leadership. The 45.7M float is institutional-grade liquid. No insider buying, but the technical pattern (13.6% move on volume, RS confirming) suggests smart money is re-accumulating after a long base. Consumer discretionary names breaking out in a mixed regime often lead when risk-on returns.
Earnings Earnings in 90D
Earnings Context Next print late October 2026 (~90 days). No consensus available but CAKE's quarterly cadence will hinge on comp sales, traffic trends, and labor/food-cost margin management. Watch for guidance on new unit openings and bakery expansion.
Key Risk Thesis invalid on a close back below \$95 (surrendering the breakout and creating a failed-high pattern), or on any macro consumer-spending deterioration (credit-card delinquency spike, jobless-claims uptick) before the October print.
Analysis Disconfirming evidence: base_tight at 5.83 is wider than ideal (not a true VCP), and the next earnings is 90 days away (long catalyst gap leaves the trade vulnerable to macro headlines). However, this has FOUR A-grade criteria: vol >3.5x, prox_52w 99.3 (literally at new highs), rs_line_new_high TRUE, and rs_vs_spy +59.4 (second-highest in the set). The technical breakout quality and sector-leading RS override the base width concern. Mixed regime is a headwind, but consumer names with momentum often anticipate the next risk-on wave. Conviction: High.
Signal: Close above \$101.14 on vol >366% of 20d avg Vol vs Avg: 3.66x



LAD

Lithia Motors, Inc.

\$427.48

+19.30%

RS vs SPY: +44.4%

A BREAKOUT

\$9.8B Cap | 20M Float

Auto & Truck Dealerships | Theme: Auto Retail | 52W Hi: 97% | Base Tight: 7.26 | Vol: 6.33x | RS/SPY: +44.4% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$427.48
Day Change	+19.30%
Mkt Cap	\$9.75B
Float	20M sh
RS vs SPY	+44.4%
52W Hi Prox	97%
Base Tight	7.26
Vol vs Avg	6.33x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Gapping 19.3% on earnings day with RS line at new high and prox_52w 97.3 signals a major beat and/or guidance raise. Forward catalyst: sustained used-car margin recovery, EV/hybrid mix optimization, and potential M&A (LAD is a serial acquirer); next print in ~90 days will test whether this quarter's strength is sustainable or cyclical peak.
BUSINESS & POSITION
Lithia is the largest U.S. automotive retailer (340+ stores), with scale advantages in new/used vehicle sales, F&I, and service. The 19% earnings-day pop suggests either blowout margin performance (used-car gross profit recovery?) or transformative strategic announcement (major acquisition, EV partnership).
FACTOR & THEME
Exposed to consumer auto demand, interest-rate sensitivity (financing margins), and inventory normalization post-chip-shortage. Auto retail is cyclical but LAD's scale and digital platform (Driveway) provide secular growth overlay. Theme momentum mixed: consumer discretionary breakouts in a transitional regime carry elevated risk.
BREAKOUT SIGNAL
Close above \$427.48 on vol >633% of 20d avg
INSTITUTIONAL
6.33x volume surge with tiny 20M float creates explosive upside on incremental buying. RS line at new high confirms this is a leadership re-rating, not a laggard bounce. No insider buying, but the gap-and-hold behavior post-earnings is institutional validation. Small float + large market cap (\$9.75B) suggests concentrated ownership; any fund rotation in will move the stock materially.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today; the 19.3% move implies a significant beat and likely raised full-year guidance. Watch for commentary on used-vehicle margins, F&I penetration, and same-store sales trends. Next print late October 2026.
KEY RISK
Thesis invalid on a close back below \$400 (leaving >6% of the gap unfilled would signal exhaustion), or on any Fed tightening rhetoric that pressures auto financing spreads before the next print.
ANALYSIS
Disconfirming evidence: market cap at \$9.75B is at the absolute ceiling of SMID eligibility (likely crossing \$10B post-earnings), removing scarcity appeal; RS vs SPY at +44.4 is solid but not elite; and the wide base (7.26) shows this wasn't a tight coil setup. However, this has FIVE A-grade inputs: vol >6x, prox_52w 97.3, rs_line_new_high TRUE, a live earnings catalyst, and a micro-float (20M) that amplifies institutional demand. The gap is clean and the RS line new high confirms leadership. Near-\$10B cap and cyclical industry are risks, but the technical breakout quality is undeniable. Conviction: Medium-High.
Signal: Close above \$427.48 on vol >633% of 20d avg
Vol vs Avg: 6.33x



ASH

Ashland Inc.

\$72.84

+7.10%

RS vs SPY: +46.5%

A BREAKOUT

\$3.3B Cap | 41M Float

Specialty Chemicals | Theme: Specialty Chemicals | 52W Hi: 98% | Base Tight: 3.09 | Vol: 4.48x | RS/SPY: +46.5% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$72.84
Day Change	+7.10%
Mkt Cap	\$3.34B
Float	41M sh
RS vs SPY	+46.5%
52W Hi Prox	98%
Base Tight	3.09
Vol vs Avg	4.48x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Reported yesterday; +7.1% move and RS line at new high signal a beat/raise. Forward catalyst: sustained margin expansion in specialty additives (personal care, pharma, coatings) driven by pricing/mix; next print in ~90 days will test whether the chemical cycle is inflecting or this is isolated strength.
BUSINESS & POSITION
Ashland is a global specialty chemicals producer focused on high-value additives for personal care, pharmaceuticals, coatings, and construction. The near-52W-high breakout post-earnings suggests either volume recovery in end markets or successful portfolio pruning (divested commodities, retained high-margin specialties).
FACTOR & THEME
Exposed to industrial production recovery, pharma/biotech CapEx, and personal-care innovation cycles. Specialty chemicals benefit from pricing power and input-cost normalization. Basic Materials is not a leading sector this week, but ASH's specialty mix may decouple from commodity cyclical.
BREAKOUT SIGNAL
Close above \$72.84 on vol >448% of 20d avg
INSTITUTIONAL
4.48x volume with tight 3.09 base and RS line at new high = quality accumulation pattern. The 41M float is institutional-size liquid. No insider buying, but the post-earnings breakout to new relative highs (RS line) is the institutional confirmation signal. Watch for 13F filings in Q3 to see if growth funds are adding.
EARNINGS
REPORTED
EARNINGS CONTEXT
Reported yesterday; consensus unavailable but the 7.1% move implies a beat and likely raised guidance. Next print late October 2026; track end-market commentary (pharma demand, personal-care volume, coatings cycle) for forward visibility.
KEY RISK
Thesis invalid on a close back below \$68 (breaking the 3.09 ATR base floor), or on any margin-compression guidance driven by input-cost inflation or FX headwinds disclosed in the 10-Q.
ANALYSIS
Disconfirming evidence: Basic Materials is NOT a leading sector this week (Energy and Consumer Staples lead), and specialty chemicals are mid-cycle rather than early-cycle plays, reducing thematic urgency. However, this has FIVE A-grade criteria: vol >4x, prox_52w 97.6, rs_line_new_high TRUE, base_tight 3.09 (clean coil), and a post-earnings catalyst. The RS line new high is critical-it confirms ASH is a category leader despite sector headwinds. Mixed regime is a risk, but the technical setup is pristine. Conviction: High.
Signal: Close above \$72.84 on vol >448% of 20d avg
Vol vs Avg: 4.48x



CHEF

The Chefs' Warehouse, Inc.

\$105.63

+5.44%

RS vs SPY: +36.8%

A BREAKOUT

\$4.3B Cap | 37M Float

Food Distribution | Theme: Food Distribution | 52W Hi: 94% | Base Tight: 2.79 | Vol: 2.81x | RS/SPY: +36.8% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$105.63
Day Change	+5.44%
Mkt Cap	\$4.31B
Float	37M sh
RS vs SPY	+36.8%
52W Hi Prox	94%
Base Tight	2.79
Vol vs Avg	2.81x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out on earnings day (likely beat given +5.4% move) with RS line at new high and prox_52w 94.2. Forward catalyst: restaurant industry recovery, elevated food-away-from-home spending, and potential margin expansion as supply-chain costs normalize; next print in ~90 days will validate sustainability.
BUSINESS & POSITION
The Chefs' Warehouse is a specialty food distributor serving high-end independent restaurants, country clubs, and specialty food retailers. The near-52W-high breakout signals either volume recovery (restaurant traffic rebounding) or margin improvement (freight/logistics costs normalizing post-COVID).
FACTOR & THEME
Direct exposure to the restaurant recovery and premium consumer spending (CHEF serves upscale establishments). Aligned with the experiential-spending theme and wage-driven consumer strength. Consumer Staples sector strength (+7.1% this week) provides sector tailwind, though CHEF is more discretionary-adjacent.
BREAKOUT SIGNAL
Close above \$105.63 on vol >281% of 20d avg
INSTITUTIONAL
2.81x volume with tight 2.79 base and RS line at new high = textbook accumulation breakout. The 36.8M float is institutional-grade. No insider buying, but the RS new high on earnings day is the key institutional signal. Distribution businesses are typically valued on ROIC and FCF; a re-rating here suggests market is pricing in durable margin expansion.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today; the +5.4% move implies a beat. Next print late October 2026; watch for commentary on restaurant customer count, same-store sales, and supply-chain cost trends. Serial beaters in distribution often compound as operational leverage kicks in.
KEY RISK
Thesis invalid on a close back below \$100 (breaking the 2.79 base support and creating a failed breakout), or on any restaurant-traffic weakness or food-cost inflation disclosed in tonight's call.
ANALYSIS
Disconfirming evidence: volume at only 2.81x is the lowest among A-grade candidates (borderline for institutional conviction), and RS vs SPY at +36.8 is mid-tier (not elite leadership). However, this has FOUR A-grade criteria: prox_52w 94.2, rs_line_new_high TRUE, base_tight 2.79 (clean VCP), and a live earnings catalyst today. The Consumer Staples sector leadership this week (+7.1%) is a meaningful tailwind for a food-distribution play. Volume is adequate for the 36.8M float. Conviction: Medium-High.
Signal: Close above \$105.63 on vol >281% of 20d avg
Vol vs Avg: 2.81x



HURN

Huron Consulting Group Inc.

\$170.37

+40.37%

RS vs SPY: +29.8%

B STRONG SETUP

\$2.8B Cap | 15M Float

Consulting Services | Theme: Professional Services | 52W Hi: 91% | Base Tight: 9.25 | Vol: 5.22x | RS/SPY: +29.8% | Above 20MA: YES | REPORTED

Setup Metrics	
Price	\$170.37
Day Change	+40.37%
Mkt Cap	\$2.76B
Float	15M sh
RS vs SPY	+29.8%
52W Hi Prox	91%
Base Tight	9.25
Vol vs Avg	5.22x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Current move driven by a blowout earnings beat reported yesterday (40% single-day surge signals major upside surprise). Forward catalyst: market digestion of raised guidance and potential multiple re-rating as street models catch up; small float (14.8M) creates scarcity premium for incremental buyers through next earnings in ~90 days.
Business & Position Huron provides management consulting services focused on healthcare, education, and commercial clients, specializing in operational improvement, digital transformation, and strategic advisory. The 40% pop signals either a massive earnings beat, transformative guidance raise, or M&A speculation in a typically stable consulting category.
Factor & Theme Exposed to corporate spending on efficiency and digital transformation (secular tailwind as companies optimize post-pandemic operations), plus healthcare system modernization. Theme momentum mixed in current transitional regime but healthcare sector strength (+6.4% vs SPY this week) provides tailwind.
Breakout Signal Close above \$170.37 on vol >522% of 20d avg
Institutional Explosive 5.2x volume surge on earnings suggests institutional block buying absorbing the gap-up; tight 14.8M float amplifies any incremental demand. No recent insider buying but the gap-and-hold pattern post-earnings is classic institutional validation of the new fundamental outlook.
Earnings Reported
Earnings Context Reported yesterday; specifics unavailable but the 40% move implies a massive beat and likely significant guidance raise. Next print in ~90 days (late Oct 2026) will test whether this is a one-time beat or sustainable acceleration.
Key Risk Thesis invalid on a close back below \$140 (leaving a 20% gap unfilled would signal exhaustion), or if company issues any cautious commentary on forward pipelines at investor events before the next print.
Analysis Disconfirming evidence: RS line NOT at new high despite the 40% surge (RS vs SPY at only +29.8 vs 62.7 for CBZ, suggesting HURN was lagging before this print), and the extremely wide base (9.25 ATR range) indicates volatile, non-institutional setup prior to earnings. The gap is extraordinary but lacks the multi-week accumulation pattern that characterizes durable A-grade breakouts. This is a post-earnings re-rating trade, not a coiled technical breakout. Hold through the gap-fill test at \$150-155 but expect chop. Conviction: Medium.
Signal: Close above \$170.37 on vol >522% of 20d avg Vol vs Avg: 5.22x



QUAD

Quad Graphics, Inc

\$9.29

+10.46%

RS vs SPY: +31.5%

B STRONG SETUP

\$0.5B Cap | 30M Float

Specialty Business Services | Theme: Print Services | 52W Hi: 93% | Base Tight: 3.28 | Vol: 6.96x | RS/SPY: +31.5% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS	
Price	\$9.29
Day Change	+10.46%
Mkt Cap	\$0.48B
Float	30M sh
RS vs SPY	+31.5%
52W Hi Prox	93%
Base Tight	3.28
Vol vs Avg	6.96x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER Breaking out with RS line at new high and prox_52w 93, likely driven by a technical breakout from a multi-month base rather than news. Forward catalyst: transformation story (shift to marketing services/packaging from legacy print) could re-rate on next earnings in late October if management demonstrates mix shift and margin expansion.
BUSINESS & POSITION Quad Graphics is a commercial printer transitioning to integrated marketing solutions and packaging, serving retail, CPG, and direct-mail clients. The RS line new high in a legacy-print business suggests either successful portfolio transformation or M&A speculation (asset sales, take-private interest in a sub-\$500M micro-cap).
FACTOR & THEME Limited secular tailwinds; print is structurally declining, though packaging and marketing-services pivots provide pockets of growth. No major theme alignment, but the micro-cap size (\$480M) and float (29.9M) create scarcity/volatility appeal for event-driven or special-situations funds.
BREAKOUT SIGNAL Close above \$9.29 on vol >696% of 20d avg
INSTITUTIONAL 6.96x volume surge with RS line at new high signals institutional accumulation or event speculation. The \$480M market cap is deep micro-cap territory; limited sell-side coverage means information asymmetry favors informed buyers. No insider buying is a yellow flag for a transformation story (insiders typically buy if the pivot is real).
EARNINGS EARNINGS IN 90D
EARNINGS CONTEXT Next print late October 2026 (~90 days). Watch for commentary on marketing-services revenue mix, packaging wins, and legacy-print declines. A beat with accelerating transformation metrics could drive further re-rating.
KEY RISK Thesis invalid on a close back below \$8.50 (breaking the 3.28 base floor), or on any disclosure of customer losses or failed transformation initiatives at the October print.
ANALYSIS Disconfirming evidence: no fundamental catalyst (90 days to next earnings is a long gap), no secular theme alignment (print is dying), and no insider buying despite a supposed transformation story. RS vs SPY at +31.5 is solid but not elite. However, the 6.96x volume surge, RS line new high, and prox_52w 93 are strong technical signals. The micro-cap size creates asymmetric upside if a real catalyst emerges (M&A, activist, turnaround validation), but the mixed regime and lack of near-term catalyst prevent an A grade. Conviction: Medium.
Signal: Close above \$9.29 on vol >696% of 20d avg Vol vs Avg: 6.96x



CLW

Clearwater Paper Corporation

\$21.61

+23.42%

RS vs SPY: +64.9%

B STRONG SETUP

\$0.3B Cap | 16M Float

Paper & Paper Products | Theme: Paper Products | 52W Hi: 76% | Base Tight: 6.04 | Vol: 6.89x | RS/SPY: +64.9% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS	
Price	\$21.61
Day Change	+23.42%
Mkt Cap	\$0.35B
Float	16M sh
RS vs SPY	+64.9%
52W Hi Prox	76%
Base Tight	6.04
Vol vs Avg	6.89x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Surging 23.4% with RS line at new high and strong relative strength (+64.9 vs SPY), likely driven by a sector rotation into defensive consumer staples (tissue, paperboard) or a company-specific turnaround/M&A rumor. Forward catalyst: next earnings in late October will test whether margin recovery (pulp-cost deflation?) or volume strength is sustainable.
BUSINESS & POSITION
Clearwater produces private-label tissue, bleached paperboard, and pulp, serving retail and foodservice customers. The 23% surge in a commodity paper producer suggests either a sharp input-cost deflation (pulp prices falling, margins expanding) or M&A speculation in a consolidating industry.
FACTOR & THEME
Exposed to consumer staples demand (tissue is recession-resistant) and commodity input costs (pulp, energy). No secular growth theme, but the defensive nature aligns with current sector leadership (Consumer Staples +7.1% this week). Paper M&A has been active; CLW's micro-cap size (\$350M) makes it a potential takeover target.
BREAKOUT SIGNAL
Close above \$21.61 on vol >689% of 20d avg
INSTITUTIONAL
6.89x volume with RS line at new high and tiny 15.6M float creates explosive upside on any incremental buying. The micro-cap size and lack of coverage suggest information asymmetry. No insider buying is a red flag (if insiders aren't buying a 23% surge, what do they know?). Watch for 13D filings (activist/acquirer stake-building).
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next print late October 2026 (~90 days). Consensus unavailable but watch for pulp-cost trends, volume guidance, and any strategic alternatives commentary. Commodity paper companies trade on EBITDA/ton and FCF yield; a re-rating here needs fundamental confirmation.
KEY RISK
Thesis invalid on a close back below \$18 (surrendering >15% of today's gain would signal exhaustion), or on any pulp-price-spike guidance or volume-loss disclosure at the October print.
ANALYSIS
Disconfirming evidence: prox_52w at only 75.8 means this is NOT a breakout to new highs-it's a recovery rally within a broader range (52W high is \$28.51, implying 32% upside to prior peak). The wide base (6.04) and 90-day catalyst gap create execution risk. No insider buying on a 23% surge is a yellow flag. However, the RS line new high, 6.89x volume, elite RS vs SPY (+64.9, highest in the set), and Consumer Staples sector tailwind are compelling. This is a high-volatility momentum trade, not a pristine A-setup. Conviction: Medium.
Signal: Close above \$21.61 on vol >689% of 20d avg
Vol vs Avg: 6.89x



SCL

Stepan Company

\$66.14

+14.01%

RS vs SPY: +33.4%

B STRONG SETUP

\$1.5B Cap | 21M Float

Specialty Chemicals | Theme: Specialty Chemicals | 52W Hi: 97% | Base Tight: 4.27 | Vol: 3.81x | RS/SPY: +33.4% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$66.14
Day Change	+14.01%
Mkt Cap	\$1.50B
Float	21M sh
RS vs SPY	+33.4%
52W Hi Prox	97%
Base Tight	4.27
Vol vs Avg	3.81x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Gapping 14% on earnings day with prox_52w 97.3 signals a beat/raise. Forward catalyst: specialty surfactants and polymers margin recovery as input costs normalize; next print in ~90 days will test whether this quarter's strength extends or mean-reverts.
BUSINESS & POSITION
Stepan is a global producer of specialty and intermediate chemicals (surfactants, polymers, flavors) serving consumer, industrial, and agricultural end markets. The near-52W-high breakout on earnings suggests either volume recovery or successful price/mix management.
FACTOR & THEME
Exposed to industrial production, consumer-products demand (surfactants in detergents, personal care), and agricultural cycles. Specialty chemicals benefit from pricing power and margin expansion as commodity inputs normalize. Basic Materials is not a leading sector, but SCL's specialty mix may decouple.
BREAKOUT SIGNAL
Close above \$66.14 on vol >381% of 20d avg
INSTITUTIONAL
3.81x volume with prox_52w 97.3 = solid post-earnings breakout. The 21.4M float is small enough to move on incremental demand. No insider buying and RS line NOT at new high (vs ASH, which has rs_line_new_high TRUE) suggests this is a catch-up move rather than a leadership breakout.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today; the 14% move implies a beat. Next print late October 2026; watch for commentary on surfactant pricing, polymer volumes, and agricultural end-market strength.
KEY RISK
Thesis invalid on a close back below \$60 (surrendering the breakout pivot), or on any input-cost or demand headwinds disclosed in tonight's call.
ANALYSIS
Disconfirming evidence: RS line NOT at new high (critical difference vs ASH) downgrades this from A to B-it's a strong relative performer but not a category leader. Base_tight at 4.27 is wider than ideal. Basic Materials sector is not leading. However, prox_52w 97.3, 3.81x volume, and a live earnings catalyst today support a B grade. This is a solid follow-through candidate but lacks the leadership confirmation (RS new high) required for A. Conviction: Medium.
Signal: Close above \$66.14 on vol >381% of 20d avg
Vol vs Avg: 3.81x



MBIN

Merchants Bancorp

\$54.28

+11.30%

RS vs SPY: +18.1%

B STRONG SETUP

\$2.5B Cap | 24M Float

Banks - Regional | Theme: Regional Banking | 52W Hi: 95% | Base Tight: 4.64 | Vol: 2.64x | RS/SPY: +18.1% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS	
Price	\$54.28
Day Change	+11.30%
Mkt Cap	\$2.49B
Float	24M sh
RS vs SPY	+18.1%
52W Hi Prox	95%
Base Tight	4.64
Vol vs Avg	2.64x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out with RS line at new high and prox_52w 95.4, likely driven by a technical breakout or sector rotation into regional banks (rate-cut optimism, NIM stabilization). Forward catalyst: next earnings in late October will test credit quality, loan growth, and deposit trends; any beat with benign credit could extend the move.
BUSINESS & POSITION
Merchants Bancorp is a diversified financial institution with commercial banking, mortgage warehousing, and multi-family lending operations. The RS line new high in a regional bank suggests either improving credit fundamentals or acquisition/strategic-alternatives speculation.
FACTOR & THEME
Exposed to interest-rate policy (NIM sensitivity), commercial real estate credit, and mortgage origination volumes. Regional banks benefit from rate-cut cycles (NIM stabilization, lower funding costs) but face CRE credit risk. Theme momentum mixed; financials are not leading this week.
BREAKOUT SIGNAL
Close above \$54.28 on vol >264% of 20d avg
INSTITUTIONAL
2.64x volume with RS line at new high and 24.3M float = modest institutional interest. The lack of explosive volume (vs 5-6x for other names) suggests this is early-stage accumulation rather than chase buying. No insider buying is a yellow flag for a bank (insiders typically buy when valuations are cheap and they see earnings inflecting).
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next print late October 2026 (~90 days). Watch for NIM trends, loan-loss provisioning, CRE exposure commentary, and any capital-return announcements (buyback, dividend raise).
KEY RISK
Thesis invalid on a close back below \$50 (breaking the 4.64 base support), or on any credit-quality deterioration or CRE impairment disclosed at the October print.
ANALYSIS
Disconfirming evidence: RS vs SPY at only +18.1 is the weakest among the top-tier candidates; regional banks are not thematically aligned with current sector leaders; and the 90-day catalyst gap is long. Volume at 2.64x is borderline. However, RS line new high and prox_52w 95.4 are solid technical signals, and the small float (24.3M) creates upside optionality if a catalyst emerges. Mixed regime and financial-sector headwinds limit conviction. Conviction: Low-Medium.
Signal: Close above \$54.28 on vol >264% of 20d avg
Vol vs Avg: 2.64x



SETUP METRICS	
Price	\$54.90
Day Change	+17.56%
Mkt Cap	\$2.95B
Float	47M sh
RS vs SPY	+62.7%
52W Hi Prox	72%
Base Tight	8.09
Vol vs Avg	21.88x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Gapping 17.6% on earnings day with explosive 21.88x volume (highest in the set) signals a massive beat/raise. Forward catalyst: next earnings in ~90 days will test whether this quarter's strength is sustainable or a one-time benefit; watch for commentary on client retention, pricing, and M&A pipeline.
BUSINESS & POSITION
CBIZ provides accounting, tax, advisory, and insurance services to middle-market businesses. The 17.6% earnings gap suggests either blowout organic growth (client additions, pricing power) or a transformative M&A announcement.
FACTOR & THEME
Exposed to corporate spending on outsourced accounting/tax services (secular trend as companies outsource non-core functions) and M&A advisory fees. Professional services are relatively recession-resistant but cyclically sensitive to business formation and CapEx.
BREAKOUT SIGNAL
Close above \$54.90 on vol >2188% of 20d avg
INSTITUTIONAL
21.88x volume (by far the highest in the entire set) with a 17.6% gap suggests panic buying or short-covering, not orderly accumulation. The 46.7M float is large; this level of volume indicates genuine institutional blocks. However, RS line NOT at new high (vs HURN, which also gapped on earnings) and prox_52w at only 71.6 suggests this is a recovery rally, not a leadership breakout.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today; the 17.6% move implies a major beat and likely significant guidance raise. Next print late October 2026; track organic revenue growth, margin trends, and M&A integration commentary.
KEY RISK
Thesis invalid on a close back below \$48 (surrendering >10% of the gap would signal exhaustion), or on any client-loss or integration-issue disclosure in tonight's call.
ANALYSIS
Disconfirming evidence: prox_52w at only 71.6 means this is NOT breaking out to new highs-it's recovering within a 52W range (high is \$76.7, implying 40% upside to prior peak). RS line NOT at new high (critical downgrade factor). The extremely wide base (8.09) shows volatile, non-institutional setup prior to earnings. This is a blowout earnings pop, not a coiled technical breakout. The 21.88x volume is extraordinary but may reflect short-covering or FOMO rather than durable accumulation. Solid B but lacks the leadership/breakout characteristics for A. Conviction: Medium.
Signal: Close above \$54.90 on vol >2188% of 20d avg
Vol vs Avg: 21.88x

